

U.S. Retail: An Industry Outlook

Structural change beneath the sector, and what it means for the next few years

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SUMMARY

- Headline retail demand remains resilient into 2026, but growth is increasingly concentrated among higher-income households, a bifurcation the National Retail Federation itself now calls out explicitly in its own forecast methodology.
- U.S. store closures roughly doubled year over year in 2025. Nine of the ten largest retail bankruptcies of 2024 to 2025 involved private-equity-owned capital structures built during a low-rate era that could not service debt at current rates.
- Sourcing has diversified materially away from China over the past two to three years, driven by tariff volatility rather than any single policy event, with buffer inventory replacing lean, just-in-time practices across a large share of the industry.
- Advertising built on first-party shopper data has become a genuine second profit engine for the largest retailers, though it remains highly concentrated among a small number of platforms.
- Consumer behaviour has fragmented by generation more than it has become unpredictable, and physical stores are increasingly functioning as fulfillment infrastructure rather than pure selling floors.

01 The demand backdrop: resilient, but increasingly bifurcated

The National Retail Federation forecasts U.S. retail sales will grow 4.4% in 2026 to reach \$5.6 trillion, ahead of the 3.6% average annual growth rate of the past decade excluding the pandemic years, and following 2025 sales of \$5.4 trillion and holiday-season spending that crossed \$1 trillion for the first time on record (NRF, in partnership with Oxford Economics, March 2026). NRF's own commentary attaches an important qualifier to that headline number: growth in 2026 is expected to be driven disproportionately by higher-income households, with the organisation describing the consumer as "likely to remain bifurcated" between income groups, consistent with the pattern observed through 2025 (NRF Retail Economic Perspective, March 2026). This is a materially different situation from a broad-based consumer recovery, and it sets the context for several of the sector-specific dynamics below.

02 Consolidation and the leverage question

U.S. retail store closures rose sharply in 2025, with tracked closures increasing from roughly 7,300 the year before to a projected 15,000, among the more severe single-year totals in recent memory (Coresight Research). Read in isolation, this figure suggests physical retail is in broad structural decline. The composition of the largest individual failures points to a narrower, more specific explanation.

71% of the largest U.S. consumer-discretionary bankruptcies in 2025 involved companies under private equity ownership at the time of filing, and nine of the ten largest retail bankruptcies across 2024 to 2025 shared the same underlying cause: acquisition-era debt structures that could not be serviced once interest rates rose. (Private Equity Stakeholder Project, 2025)

Corporate bankruptcy filings overall reached their busiest pace since 2010 in the first half of 2025, with 371 large U.S. companies petitioning for protection, an increase of roughly 11% over the same period in 2024 (S&P Global Market Intelligence, 2025). Several of the year's largest retail names filed for Chapter 11 for a second time within a short window, a pattern colloquially termed "Chapter 22" in restructuring circles:

Retailer	What happened	Root cause cited
Joann	Second Chapter 11 filing within twelve months (Jan 2025); all ~800 stores subsequently liquidated	Over \$600m in debt accumulated partly through a prior leveraged buyout, alongside post-pandemic demand softness
Rite Aid	Second bankruptcy in under a year (May 2025); all 2,000-plus remaining stores closed, ending U.S. operations; CVS acquired roughly 625 locations across 15 states	Opioid-litigation liabilities, shrinking pharmacy reimbursement margins, sustained competitive pressure

Claire's	Second bankruptcy in about seven years (Aug 2025); sold to private equity firm Ames Watson for \$104m cash plus a \$36m seller note; closures scaled back to under 300 stores from an initially proposed 1,100	Declining mall traffic and existing debt load cited directly by management
At Home	Chapter 11 (2025), management cited tariffs directly as a contributing factor; exited via lender-led restructuring in October 2025 with ownership passing largely to creditors	Debt from an aggressive pandemic-era expansion, colliding with softer housing and renovation spending
Forever 21 (U.S.)	Chapter 11 filed March 2025; all U.S. stores closed by May 2025	Management explicitly cited competition from Temu and Shein alongside tariff exposure
Hudson's Bay	Complete liquidation of Canada's oldest retailer (founded 1670); brand intellectual property sold separately to Canadian Tire	Structural decline in department-store traffic
Party City	Second Chapter 11 filing (following an earlier Jan 2023 case); all remaining stores closed permanently by February 2025, ending a 40-year-old chain	Debt load that reportedly exceeded \$1.7bn at one point, alongside sustained e-commerce and big-box competition
Saks Global	S&P Global downgraded the company's debt in mid-2025, warning a subsequent financing deal was "tantamount to a default"; the company required a \$350m rescue financing package to fund the 2025 holiday season and filed Chapter 11 in January 2026	Debt taken on to fund the 2024 Saks Fifth Avenue/Neiman Marcus merger, colliding with continued department-store traffic decline

Sources: Retail Dive bankruptcy tracker and Distressed Retail coverage (2025); CNN Business, "The retailers we lost in 2025" (Dec 2025); Digital Commerce 360 (Dec 2025); company Chapter 11 filings.

Separating a demand failure from a leverage failure matters, because the correct read on any individual closure, and the correct lesson to draw from the broader wave, depends entirely on which one actually happened. A retailer whose capital structure no longer works is a fundamentally different situation from one whose offer no longer resonates with customers, even where both produce an identical closure headline.

03 Supply chain and sourcing realignment

China's role as the default answer to "where does U.S. retail merchandise come from" has weakened meaningfully over the past decade, and the pace of change has accelerated since roughly 2023 alongside more volatile tariff policy. Southeast Asian nations now account for over 30% of U.S. imports, roughly double their share a decade earlier, and Mexico has become a near-equal sourcing partner to China across a number of categories, aided by shorter transit times and, in some cases, lower duty exposure on goods substantially transformed there.

A late-2025 supply chain leadership survey found **87%** of respondents increasing buffer inventory specifically in response to tariff volatility, and **93%** actively diversifying sourcing within Asia to reduce reliance on any single country. (WSI/Kase-commissioned industry survey, TrendCandy, Dec 2025)

This represents a genuine reversal of a multi-decade trend toward lean, just-in-time inventory practices. Holding more buffer stock is a direct cost, both in working capital tied up and in markdown risk if forecast demand does not materialise, and it is being absorbed industry-wide as the price of reducing exposure to a trade environment that has proven difficult to predict quarter to quarter.

04 Retail media as a second profit engine

Retailers have monetised vendor relationships for decades through mechanisms such as slotting fees for shelf placement and co-op advertising written into supplier contracts. Over roughly the past decade, this previously informal, privately negotiated spend has been rebuilt as a measurable, auction-priced digital advertising product, targeted using a signal few other advertising channels can offer: a retailer's own record of what a specific shopper has actually purchased, rather than merely what they viewed or clicked. Amazon was the first major retailer to formalise this into a standalone advertising business, in the early 2010s, and most large retailers across grocery, general merchandise, and specialty formats have since built comparable programs.

Global retail media spend is estimated at roughly **\$196.7 billion** in 2026, close to 16% of all advertising spend worldwide and, for the first time, larger than the entire linear and connected television advertising market combined. Amazon and Walmart together account for approximately **88%** of total U.S. retail media spend. (WARC, 2026 estimates; eMarketer)

The concentration is arguably the more important fact than the growth rate. Every retailer building a smaller network of its own is competing for a shrinking share of incremental dollars once the two largest platforms are accounted for, and the category's genuine, unresolved question industry-wide is how much of this revenue is truly incremental versus a repackaged version of vendor funding retailers already collected under older names. A related trend worth noting: an increasing share of retail media growth is now happening off a retailer's own site entirely, through programmatic placements powered by the retailer's first-party data but served on third-party publishers and platforms, which several forecasters expect to be one of the faster-growing segments of the category through the remainder of the decade

(eMarketer, December 2025 forecast).

05 The channel shift: e-commerce and social commerce

E-commerce's share of total U.S. retail sales stood at roughly 16.4% to 16.9% in the first quarter of 2026, more than four times its share in 2010, though the pace of share gain has slowed from its pandemic-era peak (U.S. Census Bureau, Quarterly E-Commerce Report, May 2026). The more consequential shift within that figure is where discovery is happening before a purchase completes. Social commerce, broadly defined as purchases discovered and completed inside a social platform rather than a retailer's own site, is now an estimated \$100 billion U.S. market growing roughly 18% annually, embedded inside a global social commerce market estimated at \$1.2 trillion in 2025 (Statista; industry estimates cited across 2026 sector reporting).

TikTok Shop's U.S. e-commerce sales are projected to reach **\$23.4 billion** in 2026, after U.S. sales grew roughly **120%** year over year in the twelve months to mid-2025, a scale that would place a single social platform's U.S. e-commerce business ahead of several established general-merchandise retailers' own digital operations. (eMarketer, January 2026 forecast)

This matters for how traffic and discovery should be modelled across the industry. A meaningful and growing share of purchase intent is now forming on platforms a retailer does not own and cannot fully instrument, which is a structurally different demand-generation dependency than the industry had a decade ago, and it sits alongside, rather than inside, the retail media dynamics described in Section 4.

06 A fragmenting, not confused, consumer

Consumer behaviour is often described as erratic at present. A more precise description, consistent with NRF's own bifurcation language in Section 1, is fragmentation along generational and income lines rather than genuine unpredictability. Younger shoppers increasingly discover products through short-form video and creator content before visiting a retailer's own website, and survey data consistently shows this cohort placing more trust in creator and peer reviews than in a brand's own advertising. Older shoppers, who continue to control the majority of total retail spending despite receiving disproportionately less attention in trade coverage, shop closer to a traditional pattern, proceeding directly to a retailer they already trust rather than starting from a search engine or social feed.

The practical consequence is that no single customer journey adequately describes the market. A retailer built primarily around search-driven discovery is optimising for a shopper who increasingly does not search before buying, and a retailer without a presence in short-form or creator-led discovery is ceding an entire generation's first exposure to its products to platforms it does not control.

07 The store as fulfillment infrastructure

The function of a physical store has changed more than most external commentary credits. Historically a single-purpose selling floor, the store increasingly operates as dual-purpose infrastructure, a retail location during operating hours and a local fulfillment node the rest of the time, dispatching online orders, enabling same-day delivery, and processing returns. This is a capital-efficient response to the fulfillment pressure Amazon placed on the industry over the past two decades, allowing an existing store network to double as distribution infrastructure rather than requiring a parallel warehouse buildout.

This blurs the standard by which a store's performance should be judged. A location with unremarkable in-store sales but meaningful fulfillment volume moving through its stockroom may be a genuinely healthy asset, even where it appears weak on the metric most outside analysis still defaults to.

Outlook

The industry is bifurcating faster than most participants acknowledge publicly, and the pattern repeats at both the consumer level and the corporate level. On the demand side, NRF's own 2026 forecast already concedes that growth is concentrated among higher-income households. On the supply side, a small number of companies are building advertising businesses, fulfillment networks, and diversified sourcing relationships that become structurally harder to replicate each year, while a long tail of retailers, a number of them sound businesses on their own operating merits, remain financed with debt structures that no longer make sense at current rates.

For operators, the practical implication is that resilience now competes directly with efficiency as a design principle, whether in inventory policy, sourcing footprint, or channel mix, and the retailers absorbing that cost willingly in 2025 and 2026 appear better positioned than those still optimising purely for lean operations. For capital allocators evaluating the sector, the leverage pattern documented in Section 2 argues for weighting a target's capital structure and refinancing schedule as heavily as its underlying unit economics, since the data suggests operationally sound businesses can still fail on financing terms alone in the current rate environment. For the format broadly, the store's evolving role as fulfillment infrastructure means traditional per-store productivity metrics increasingly understate the value of a well-located physical footprint, and analysis that does not account for this is likely to misjudge which retailers are actually healthy.

None of this is really a question of whether demand for retail exists. It plainly does, across every channel discussed above. What is being resolved right now, across consolidation, sourcing, advertising, and channel mix simultaneously, is which companies are structurally positioned to keep capturing that demand profitably, and which are not, and that distinction, rather than a shortage of customers, is what will continue producing closure headlines over the next several years.

Signals worth tracking through year-end 2026

A small number of concrete, dated data points will do more to confirm or challenge the themes in this note than any amount of further commentary between now and year-end:

Signal	Why it matters here
NRF's holiday spending forecast , typically released in early November, followed by actual November-December Retail Monitor data in January	Directly tests whether the income bifurcation flagged in Section 1 widens or narrows into the highest-volume selling period of the year
RapidRatings' retailer distress watch list , which flagged several additional names as high-risk on entering 2026 using the same financial health scoring that correctly identified Rite Aid, Joann, and Express ahead of their 2025 filings	A practical, forward-looking check on whether the leverage-driven consolidation wave in Section 2 is slowing or continuing into 2027
Amazon and Walmart's Q3/Q4 2026 advertising revenue disclosures , alongside any updated market-share estimates from eMarketer or WARC	Tests whether retail media concentration (currently ~88% combined) is loosening as smaller networks scale, or tightening further
Census Bureau's Quarterly E-Commerce Report for Q3 and Q4 2026	Confirms whether e-commerce penetration growth continues to decelerate from its post-pandemic pace, as noted in Section 5

Sources referenced: National Retail Federation, in partnership with Oxford Economics (2026 Annual Retail Sales Forecast, March 2026); U.S. Census Bureau, Quarterly E-Commerce Report (May 2026); Coresight Research (store closure tracking); Private Equity Stakeholder Project (2025 bankruptcy ownership analysis); S&P Global Market Intelligence (corporate bankruptcy filing data); WARC (2026 global retail media estimates); eMarketer (retail media and social commerce forecasts); Retail Dive, CNN Business, and Digital Commerce 360 (individual company bankruptcy reporting); WSI/TrendCandy (2025 supply chain leadership survey); Statista (social commerce market sizing); RapidRatings (retailer financial health scoring, via Forbes, Feb 2026). All figures current as of August 2026 unless otherwise noted; several data points, particularly around 2025 bankruptcy activity and 2026 forecasts, are subject to revision as fuller-year data is finalised.